

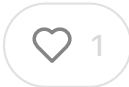
Fiduciary Capital: The Canadian Advantage

The 2025 Autumn Governance Series: Pension Fund Governance Focus



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Canada's pension architecture has long stood as a quiet marvel—an institutional design that pairs independence with professionalism and resilience at scale. But even the most sophisticated systems age. Demographic shifts, technological upheaval, and political temptation are reshaping the conditions that once defined Canadian excellence. The question now is whether the Canadian model works—it's whether it can evolve fast enough to preserve its integrity in a different world.

The Canadian Model: When Structure Compounds

In the 1990s, Canada rewired the DNA of public finance. Pension boards were reconstituted as independent, professional bodies with fiduciary mandates insulated from politics. The results compound like interest.

The Canada Pension Plan Investment Board (CPPIB) closed fiscal year 2024 (ending March 31) with \$714.4 billion in assets, returning 9.3 percent annually and 8.3 percent over ten years. Ontario Teachers' Pension Plan (OTPP), with \$269.6 billion, has delivered 9.2 percent annualized returns since 1990.

The principle behind those numbers is simple: **governance drives returns**. Research by Andonov, Hochberg, and Rauh (2016) found that funds whose boards were heavily populated by political appointees underperformed by 30 percent in private equity. OECD analysis later estimated that strong governance can add 1–2 percentage points to annual returns.

Canada's edge lies in a few architectural choices:

- Independent boards shielded from ministerial control.
- Professional qualifications over political affiliation.

- Roughly 90 percent of assets managed internally at low cost, enabling direct ownership and complex deal structuring.

Governance, in this design, isn't ceremonial—it's computational.

Comparative Lens: Australia, the Netherlands, and Singapore

Canada is often held up as *the* global model, but it's one of several viable equilibria in pension governance.

Australia's Superannuation System mandates employer contributions (currently 11 percent of salary) into privately managed funds. Its scale—AUD 3.7 trillion—demonstrates the compounding power of compulsory saving. Yet its decentralized governance introduces fragmentation: thousands of funds competing on fees and marketing rather than long-term investment capacity. Returns are strong, but oversight diffuse.

The Netherlands offers a more corporatist legacy: equal labor-employer representation on boards. Post-2008 reforms professionalized governance, improving coverage ratios from 94 to 110 percent by 2023. Its lesson: stakeholder representation can coexist with fiduciary rigor if balanced with expertise.

Singapore's Central Provident Fund (CPF) represents the opposite of private state control, guaranteed returns (2.5–4 percent), and limited investment choice. Its design prioritizes security over growth—citizens get certain compounding. By contrast, CPPIB's returns of 8–9 percent demonstrate that independence and risk-tolerant governance achieve.

These three systems form a prism: Australia proves participation power, Netherlands balance, Singapore security. Canada's distinction lies in professional independence—a public trust operating with private-sect precision.

The Stakes of Design: Norway and Alberta

Norway's Government Pension Fund Global (\$1.9 trillion, 6.4 percent annualized since 1998) remains the textbook example of governance discipline: strict withdrawal caps (3 percent), mandatory oil-revenue d and zero political interference.

Alberta's Heritage Savings Trust Fund is the cautionary mirror. Despite resource wealth, it holds just \$17 billion—versus a potential \$163 billion Norwegian rules applied. Political interference, failed industrial bets, a 2020 “VOLTS” volatility-trading losses (−\$2.1 billion) make the gap expl governance quality is measurable in dollars per citizen. Norway: \$339,000; Alberta: \$3,800.

Structural Vulnerabilities Beneath the Excellence

Success breeds scale, and scale breeds new fragilities.

Private-Equity Saturation: CPPIB's allocation to private equity rose from 10 percent in 2018 to 33 percent in 2023. A Crisil-Greenwich report estimates 40 percent of Canadian institutional assets now sit in alternatives. Liquidity becomes the trade-off. CPPIB's 2024 return (8 percent) trailed its equity-heavy benchmark (19.9 percent), illustrating how illiquidity constrains agility.

Internal Management Concentration: Managing 90 percent of assets in-house saves billions in fees but concentrates operational risk—people, processes, and systems—within one institutional culture. The OECD with this model magnifies the cost of single-point failures: a cyber breach or control lapse could ripple across hundreds of billions.

Infrastructure's Ambiguous Alpha: Canadian funds pioneered direct infrastructure ownership, but recent fossil-fuel acquisitions raise questions. CPPIB's \$1.4 billion AlphaGen investment in gas and diesel plants echoes earlier \$4.1 billion energy exposures. Are these contrarian alpha plays—stranded-asset bets disguised as diversification? Governance must now differentiate patience from path dependency.

The Gender Pension Gap: Inequality as a Design Flaw

Women in Canada retire with roughly 17 percent less income than men, a gap wider than in 1976. In private pensions, the gap rises to 25 percent. The reasons are structural: lower lifetime earnings, part-time work, unpaid caregiving, interrupted contribution years.

"I worked every year of my adult life," says a retired teacher in Saskatoon. Her pension is smaller not because I earned less, but because I paused to raise children."

In 2021, women's average retirement income was \$36,700 versus \$44,200 for men. The median gap is worse: \$29,700 vs. \$40,000. The outcome is cumulative—smaller balances, shorter compounding, higher senior poverty. Among Canadians aged 75+, 21 percent of women live below the low-income cut-off versus 14 percent of men.

This isn't a behavioural issue—it's a systems failure. Pension design that mirrors labor-market inequality will reproduce it at scale.

The Gig Economy: A Parallel Pension Universe

Freelancers, contractors, and platform workers occupy the fastest-growing labour frontier yet remain excluded from the traditional retirement architecture. In North America, fewer than 15 percent of independent contractors contribute regularly to a retirement plan.

"I've been contributing to three different platforms for years," says a Toronto rideshare driver. "None of them talks to each other. When the engine stops, the savings stop."

Portable "retirement wallets" could close this gap—digital accounts aggregating contributions across employers and apps. Implementing them, however, requires legislative synchronization among tax authorities, regulators, and digital ID frameworks. The U.K.'s *Pension Dashboards Programme* offers a blueprint; Canada lacks an equivalent initiative.

Discount Rates and the Intergenerational Bargain

Pension math hides a profound moral question: who pays for whom?

A 1-percent drop in discount rates inflates liabilities by roughly 13 percent of the CPPIB, that's a \$93-billion swing—about \$2,500 per contributor. Over centuries, these rate cycles silently transfer wealth between generations: lower rates burden the young; higher rates advantage them.

Norway's 3-percent withdrawal rule insulates future generations from term expediency. Alberta's halted contributions in 1987 demonstrate what happens when discipline erodes. Governance, once again, decides whether intergenerational equity is engineered or left to chance.

Longevity and Alternative Risk: The Quiet Variables

Canadian funds model mortality improvements carefully, but longevity remains a slow-burn challenge. A one-year increase in average lifespan raises liabilities by 3–4 percent. As medical and AI-driven biotech extend lifespans, this actuarial pressure will test even the most disciplined fund.

Meanwhile, the search for yield tempts pension capital toward *alternative* alternatives: crypto exposure, tokenized real estate, carbon credit portfolios. Governance must adapt to technologies whose custodianship, valuation, and legal standing remain fluid. Fiduciary caution is not conservatism—it's calibration.

Climate Stress Testing: Fiduciary Duty in the Anthropocene

The Network for Greening the Financial System (NGFS) provides scenario frameworks that Canadian funds are gradually integrating—yet coverage

remains uneven. Transition and physical risk modeling should be core fiduciary tools, not compliance appendices. When \$700 billion portfolio 20-year horizons, climate stress tests are simply discounted cash-flow realism.

Artificial Intelligence: The Fiduciary Frontier

AI now shapes everything from member engagement to portfolio rebalancing. Nearly half of global defined-contribution plans devote more than 10 percent of budgets to digital intelligence systems. Yet as algorithms assume fiduciary functions, explainability—not accuracy—becomes the test of governance maturity.

For complex trading models, *explainability* means the ability to trace which inputs most influenced an investment decision—what ICML researchers call “counterfactual attribution.” Without that lineage, trustees cannot fulfill their duty of oversight.

A 2024 CFA Institute survey found that fewer than 30 percent of trustees could describe model validation procedures. Meanwhile, a European pension fund's AI risk model famously under-estimated volatility correlations in 2022, leading to \$500 million in losses—an incident now cited by the Bank for International Settlements as the first “AI-amplified governance failure.”

Algorithmic herding magnifies systemic risk: when similar models train on similar data, diversification collapses precisely when it's needed.

The safeguards are emerging:

- **Explainability audits** requiring vendors to disclose logic and data provenance.
- **Algorithmic risk committees** to review model behaviour.
- **Fiduciary sandboxes** allowing limited AI deployment before full integration.
- **Mandatory AI literacy** programs for trustees.

The principle remains unchanged: fiduciary responsibility cannot be delegated to code.

Political Temptation: The Myth of Immunity

Even world-class systems bend under populist pressure. Alberta's 2024 dismissal of AIMCo's entire board—replaced with politically aligned directors—was a warning shot. Governments, facing deficits, increasingly view pension assets as convenient public investment pools.

Canada's defence lies in law and culture: statutory independence and an internalized belief that pension assets belong to contributors, not the state. Lose that belief, and even the best governance architecture collapses in expediency.

ESG: Between Prudence and Politics

ESG has become a battleground of semantics, but its financial case is straightforward: long-duration investors ignore material environmental and social risks at their peril.

Evidence mounts. Chile's ESG benchmark portfolios outperformed by 1 percentage points over seven years with lower volatility. Chinese funds from 2006–2020 show statistically significant positive alpha for environmental and governance factors alike. The backlash in parts of the U.S. reframes fiduciary prudence as political choice—but Norway's example offers resilience: sustainability mandates endure when grounded in risk management, not ideology.

For Canadian funds, the path forward is clarity: treat ESG as extended horizon risk assessment, not moral overlay.

Transition Pathways: Designing the Next Phase

Diagnosis without roadmap invites inertia. Several reforms would strengthen pension inclusivity and sustainability:

- **Portable Retirement Wallets:** Legislate interoperable contribution systems across employers and platforms, anchored to national digital identity.
- **Care Credits:** Expand child-rearing “drop-out” provisions to include eldercare, offsetting lifetime earning gaps for women.
- **AI Governance Charter:** Require annual algorithmic audit reports, mirroring existing investment compliance frameworks.
- **Longevity Adjustment Mechanism:** Automate contribution tweaks based on national life-expectancy shifts, depoliticizing adjustments.
- **National Pension Data Observatory:** Centralize performance, fees, and stress-test data to democratize oversight.

Each reform is administratively feasible; the barrier is political attentiveness.

Sophistication as Resilience, Vigilance as Necessity

Canada's pension model remains a triumph of institutional design. The confirm it: governance adds 1–2 percent to annual returns; independent boards outperform by 20–30 percent; internal management scales with bloat. Yet the model's endurance depends on adaptive vigilance.

The 17-percent gender gap, the exclusion of 70 million gig workers, and growing illiquidity all signal the limits of structural pride. AI introduces unprecedented analytic power and new accountability voids. Climate, longevity, and digital assets test the edges of what fiduciary duty means in an era of algorithmic intermediation.

Governance, ultimately, is the invisible technology that allows societies to trust across time. The Canadian model proves it can be built. The coming decade will determine whether it can be renewed.

This series explores ideas from *“Shaping the Decade: Governance, Sustainability, and AI 2026–2036,”* a guide for boards at the crossroads of governance, technology, and stakeholder capitalism. [Available Here.](#)

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